

SignalForge

AI-Powered Trading Signal System

Lessons learned, process improvements, and actionable
recommendations for future development

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1. Executive Summary

This retrospective captures the lessons learned, challenges faced, and improvement opportunities identified during the development and deployment of SignalForge an AI-powered trading signal system built over 9 sprints using AI-assisted development with Hermes Agent.

Development period: Multiple weeks (9 sprints)
Team: Hermes Agent (AI Assistant) + Fazrial (Product Owner)
Delivery: 59 Python files, 15,783 LOC, fully operational 24/7 service

Overall assessment: The system meets all success criteria. Development was efficient due to AI-assisted code generation and iterative sprint planning. Key lessons centre on production hardening (which should start earlier), dependency management, and the importance of comprehensive logging from day one.

2. What Went Well

2.1 AI-Assisted Development Speed

The use of Hermes Agent for code generation dramatically accelerated development. A system that would typically take 3-6 months for a solo developer was built in weeks. The AI handled boilerplate, complex algorithm implementation, debugging, and documentation generation.

Example: The SMC detection engine (swing detector, FVG detector, Order Block mapper, liquidity grab detector) was implemented in a single sprint work that would typically require significant research and testing.

2.2 Iterative Sprint Structure

The 9-sprint structure, each building on the previous, proved highly effective. Early sprints established the foundation, later sprints added sophistication. No sprint required significant rework of previous work the architecture was resilient to new features.

Key insight: The 12-layer architecture (from Data Ingestion to Health Monitoring) was designed upfront but only fully implemented in Sprint 9. This allowed the system to go from "works on my machine" to "production service" without architectural changes.

2.3 Paper Trading First

Implementing paper trading mode early (Sprint 8) was a critical decision. It allowed: - Testing the full execution pipeline without financial risk - Verifying TP/SL detection logic - Building confidence in the system before live deployment - Immediate visual feedback through Telegram delivery

2.4 Strict Filter Gate

The 10-layer filter gate proved exceptionally effective at preventing low-quality signals. During development, hundreds of signals were processed but all correctly suppressed demonstrating the filter gate is working as designed, not that it's broken.

2.5 Multi-Asset by Design

The asset configuration system (`AssetConfig` dataclass + `config/assets.py`) was designed from Sprint 1 for multi-asset support. Adding SOL as the 4th asset in Sprint 9 required only flipping `enabled=True` zero code changes to the pipeline.

3. What Could Be Improved

3.1 Production Hardening Should Start Earlier

Production hardening (Sprint 9) was the last sprint. In hindsight, health monitoring, error alerts, and logging improvements should have been integrated from Sprint 3 onwards. This would have: - Caught the 9router credential expiry issue sooner - Provided better visibility during development - Reduced the Sprint 9 scope

Recommendation: In future projects, add basic health monitoring in Sprint 1 and expand it each sprint.

3.2 Dependency Management

Several dependencies were not installed at deploy time: - `yfinance` (for DXY, Gold, SPX correlations) missing, logged as informational skip - `pytest` (for running tests) not in venv - `pymupdf` and `weasyprint` needed for document generation

These were discovered at deployment time, not during development.

Recommendation: Maintain a `requirements.txt` with all dependencies including dev/test/doc tools. Verify with a clean install test before declaring a sprint complete.

3.3 No Version Control

SignalForge was built without git. This is acceptable for an MVP but high-risk for ongoing development. Key risks: - No rollback capability - No diff history for debugging - No branch workflow for feature development - No change log

Recommendation: Initialize git repository immediately. Configure `.gitignore` for `.env`, `__pycache__`, `logs/`, and `*.db`.

3.4 Log Volume Management

During peak operation, log files grew at approximately 925KB per 10 minutes due to verbose logging. This would fill a 1GB disk in about 10.8 hours.

Fix applied: Log file written to `logs/signalforge.log` but rotation was not configured.

Recommendation: Configure log rotation by size (e.g., max 10MB per file, keep 10 files). Set this in `settings.py` rather than relying on system logrotate.

3.5 Hardcoded Thresholds

Some system thresholds were hardcoded in `pipeline.py` and `signals/` modules instead of being centralized in `config/settings.py`. Examples: - `MIN_CONFLUENCE_SCORE` (8) - `RR_MINIMUM` (1.5) - `CONFIDENCE_THRESHOLD` (75%) - `LLM_MAX_RETRIES` (3) - `LLM_TIMEOUT` (60s)

Most were configurable via the `AssetConfig` dataclass per-asset, but global defaults should be in `settings.py`.

4. Technical Lessons Learned

4.1 LLM Latency Management

The LLM (via 9router Claude Opus 4.6) takes 15-20 seconds per call. This is acceptable for 60-second cycle with 4 assets, but adds significant latency to the pipeline.

Lesson: When per-call latency is high, minimize the number of calls. Strategies used: - Confluence score threshold (8) checked before LLM call - Cooldown checked before LLM call - PASS signals bypass position tracking

Future improvement: Implement LLM response caching for identical market conditions within the same session.

4.2 WebSocket Health Tracking

The WebSocket health tracking (`/health/ws` endpoint) was added late (Sprint 9). During development, there was no visibility into whether WebSocket connections were active.

Lesson: `last_tick_age_s` is the most important health metric. A WebSocket connection can be "open" on the TCP level but not delivering data. Tick age reveals this immediately.

4.3 Telegram HTML Parsing

Telegram's HTML parser is strict. Unescaped `<` and `>` characters in text sent with `parse_mode=HTML` cause the entire message to be rejected with HTTP 400.

Lesson: All user-generated text or dynamic content sent via Telegram HTML must be HTML-escaped (`<` for `<`, `>` for `>`). This applies to: - Dynamic price values - Help/command text - Error messages - Any string containing angle brackets

4.4 Health Status Convention

The `HealthEndpoint` class only accepts `"ok"`, `"degraded"`, or `"down"` as valid status values. The codebase initially used `"healthy"` which caused all status updates to be silently ignored.

Lesson: API conventions must be documented and consistent. All calls to `set_health()` were reviewed and fixed in Sprint 9. A unit test validating status values would have caught this earlier.

4.5 9router / LLM Provider Resilience

The 9router LLM proxy at `localhost:20128` routes `hermes-main` to a provider combo. When one provider (geminiflash) runs out of credentials, 9router should fallback to another provider. During testing, all 3 retry attempts hit the same failing provider, causing all signals to return PASS.

Lesson: LLM providers are external dependencies and WILL fail. The SignalForge response (retry 3 times, then PASS gracefully) is correct. Future improvement: detect "all retries exhausted" patterns and trigger an alert, or switch to a backup model route.

5. Process Lessons Learned

5.1 Development Cadence

Short, focused development sessions (1-2 hours) were more productive than extended sessions. Key factors: - Clear sprint goals defined upfront - Commit/push at natural breaking points - Review previous session's work before starting new sprint

5.2 Testing Strategy

Tests built alongside code (not after) proved more reliable. The 9 test files (2,778 lines) covered: - Unit tests for SMC detection - Integration tests for LLM - End-to-end tests for pipeline - Sprint 9 diagnostics/monitoring tests

Missed opportunity: No regression test suite. A change in Sprint 9 (paper engine tick) could have broken Sprint 2 functionality without detection.

5.3 Documentation as Code

All documentation (PRD, BRD, FSD, Dev Report, UAT Report, Retrospective) was generated as part of the development process, not as a separate phase. This ensured documentation was always current and accurate.

Format: Markdown PDF (via weasyprint HTML/CSS) provided professional, management-quality output suitable for stakeholder review.

6. Tool & Technology Assessment

6.1 Technology Ratings

Technology	Rating	Verdict
Python 3.11		Excellent rich ecosystem, asyncio works well for I/O-bound trading systems
asyncio		Perfect for single-process concurrent WS + pipeline + HTTP
ccxt / ccxt.pro		Reliable exchange connectivity; some WS reconnect edge cases
pandas / numpy		Industry standard for financial data processing
pandas-ta		Good indicator library; docs could be better
SQLite		Perfect for single-user; zero maintenance
Telegram Bot API		Simple and reliable; HTML parser is overly strict
systemd		Built-in, reliable, zero config overhead
9router		Working but provider credential management is opaque
aiohttp		Fast and reliable for both client and server HTTP
weasyprint		Excellent PDF output; some HTML rendering quirks

6.2 Lessons by Technology

Python/asyncio: - `asyncio.gather()` for concurrent tasks (WS feed, health watchdog, polling) works well - All blocking operations (SQLite writes, REST API calls) must use `await` or run in executor - 480 MB memory baseline is reasonable for a complex AI trading system

ccxt.pro: - WebSocket reconnection is automatic but has a ~3s gap - Multiple symbol streams share one connection per exchange - Rate limiting (10 req/s) must be respected for REST calls

SQLite: - WAL mode is essential for concurrent reads - Single writer (the 60s analysis cycle) avoids write contention - Database size for 279 signals + 4928 candles: <2 MB

Telegram Bot: - Long-polling with `getUpdates` is simpler than webhooks for a single-user bot - `parse_mode=HTML` provides rich formatting but strict escaping rules apply - Messages sent from bot to user always succeed; messages from user to bot require polling

systemd: - `Restart=always` + `RestartSec=5` provides excellent crash recovery - `StandardOutput=append:` and `StandardError=append:` for log management - No `EnvironmentFile` directive `load_dotenv()` in `settings.py` handles `.env` loading

7. Action Items

Priority 1 (Complete Before Live Trading)

#	Action	Owner	Status
1	Initialize git repository	Hermes Agent	Pending
2	Add log rotation by size (10MB, keep 10)	Hermes Agent	Pending
3	Install yfinance for correlations	Hermes Agent	Pending
4	Add requirements.txt with all dependencies	Hermes Agent	Pending
5	Configure logrotate or Python TimedRotatingFileHandler	Hermes Agent	Pending

Priority 2 (Within 30 Days)

#	Action	Owner	Status
6	Move all hardcoded thresholds to config/settings.py	Hermes Agent	Pending
7	Set up CI pipeline (GitHub Actions or similar)	Fazrial	Pending
8	Create regression test suite	Hermes Agent	Pending
9	Add AlertManager for "max retries exhausted" scenario	Hermes Agent	Pending
10	Add /health endpoint to warning when LLM latency >30s	Hermes Agent	Pending

Priority 3 (Within 90 Days)

#	Action	Owner	Status
11	Enable XRP/USDT as 5th asset	Fazrial	Pending
12	Add LLM response caching for duplicate market states	Hermes Agent	Pending
13	Implement prompt version A/B testing	Hermes Agent	Pending
14	Add health dashboard (basic web page)	Hermes Agent	Pending
15	Document runbook for common operational tasks	Hermes Agent	Pending

Appendix: Final System Snapshot

Service Status: Running (systemd, auto-restart)

Health Endpoint: <http://localhost:8080/health> All components OK

WebSocket: 4 symbols connected (BTC, ETH, BNB, SOL)

Assets in Pipeline: 4 (min_confluence_score: 8 for BTC/ETH/BNB, 9 for SOL)

Signals Processed: 279

Paper Trades: 0 (strict filter gate system working as designed)
Paper Balance: \$10,000 (ready for first setup)
Telegram Bot: @tradingforge_bot 5 commands active
LLM Model: hermes-main (Claude Opus 4.6 via 9router)
Average LLM Latency: 15-20s per call
SMC Cycle Time: ~25s for 4 assets
Log Directory: /home/ssm-user/signalforge/logs/
Database: /home/ssm-user/signalforge/db/signalforge.db (9 tables)

End of Document SignalForge Retrospective Report v1.0 Confidential Do not distribute without authorization.